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Italy: Banco Ambrosiano Emergency Liquidity Program, 1982¹

Kopal Ardimento^{2,3}

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Abstract

On June 14, 1982, prompted by the disappearance of Banco Ambrosiano (BA) CEO Roberto Calvi, the Bank of Italy opened an investigation into BA, which revealed to the market BA's 1.9 trillion–2.2 trillion Italian lire (ITL; USD 1.4 billion–USD 1.6 billion) in questionable foreign loans. The Treasury Ministry deemed intervention necessary because BA's collapse would compromise the credibility of the Italian banking system abroad. Attempts to appeal to the Vatican Bank to honor guarantees it had made against these foreign loans failed. The Bank of Italy worried that runs on deposits would further impair BA while authorities explored alternatives to cover the losses on the nonperforming loans. To preempt depositor runs, the Bank of Italy organized a liquidity support operation consisting of fixed-term advances, currency transfers, and reserve requirement easing, plus a more substantial amount of funds supplied by a rescue consortium of public and private banks. The first fixed-term advance was provided on July 7, 1982, at a size of ITL 97 billion, for 22 days. On July 28, the Bank of Italy authorized an extension for the advance and increased the limit to ITL 126 billion. On August 8, when BA was reconstituted as Nuovo Banco Ambrosiano, BA had ITL 143.5 billion in outstanding debts to the Bank of Italy.

Keywords: ad hoc emergency lending, Banco Ambrosiano, Bank of Italy, insolvency, IOR, Roberto Calvi

¹ This case study is part of a Yale Program on Financial Stability (YPFS) selection of New Bagehot Project modules considering ad hoc emergency liquidity provision. A survey of all the cases in this series (Kelly et al. 2025) and the individual cases underlying it are available from the *Journal of Financial Crises* at <https://elischolar.library.yale.edu/journal-of-financial-crises/vol7/iss1/>. Wiggins et al. (2022) surveys broad-based emergency liquidity programs.

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Overview

This case study is about the fixed-term advance the Italian central bank, Bank of Italy, provided as an ad hoc emergency liquidity measure to Banco Ambrosiano (BA) in 1982.

In June 1982, the suspicious death of Banco Ambrosiano CEO Roberto Calvi and the subsequent revelation of roughly 1.9 trillion–2.2 trillion Italian lire (ITL; USD 1.4 billion–USD 1.6 billion)⁴ in bad foreign loans by the bank triggered uncertainty among depositors about the adequacy of its equity (Galanti, D'Ambrosio, and V. Guccione 2012; Hess 1989). Despite efforts by the Bank of Italy to quell depositors' anxieties (Lepri 1982a), deposits fell by ITL 708 billion from May 31 to July 27 (Andreatta 1982). On August 4, investigations by the supervisory committee and extraordinary commissioners of Banco Ambrosiano estimated losses on the bad foreign loans would be ITL 900 billion, resulting in negative equity of ITL 220 billion–ITL 480 billion (Andreatta 1982; Masera 2021).

In June and July, the Bank of Italy, the Italian government, and a consortium of public and private banks worked together to extend liquidity assistance to Banco Ambrosiano to protect the bank's depositors before Banco Ambrosiano was put into compulsory administrative liquidation on August 6, 1982 (Court of Cassation 1989).

Between June 21 and July 6, Banco Ambrosiano obtained USD 120 million (equivalent to ITL 163 billion) in foreign exchange repurchase agreements from the Bank of Italy. On June 23, the Bank of Italy authorized an exceptional release of ITL 140 billion from Banco Ambrosiano's restricted

Key Terms

Purpose: To deal with the flight of deposits while the Bank of Italy and the Ministry of Treasury explored the possibility of a recapitalization through the voluntary action of the banking system

Announcement Date	Not publicly announced
Operational Date	July 7, 1982
Termination Date	Not available
Legal Authority	Italian Banking Act of 1936
Administrator	Bank of Italy
Peak Authorization	ITL 126 billion
Peak Outstanding	ITL 143.5 billion outstanding when the bank was resolved
Collateral	Public sector securities
Haircut and Recourse	Likely 15-20% (see Key Design Decision No. 10, Balance Sheet Protection)
Interest Rate and Fees	Approximately 19% (see Key Design Decision No. 8, Rates and Fees)
Term	22 days, renewed once
Part of a Package	ITL 530 billion in emergency liquidity provided by a public-private bank consortium; Reconstitution as Nuovo Banco Ambrosiano
Outcomes	Liquidity support sustained Banco Ambrosiano until a new bank was created; obligations of ITL 1 trillion were repaid by the new bank
Notable Features	Participation of public and private banks

⁴ Per FRED, USD 1 = ITL 1,358 in June 1982.

deposit to mandatory reserves, in other words, lowering the bank's reserve requirements (Court of Cassation 1989).

During the month of July, while the Bank of Italy and the Ministry of Treasury evaluated the possibility for bank recapitalization or reconstitution, the Bank of Italy organized a liquidity support package and a public-private bank consortium to help Banco Ambrosiano deal with the loss of deposits (Andreatta 1982).

On July 7, the Bank of Italy granted Banco Ambrosiano a 22-day fixed-term advance, the subject of this case study, of ITL 97 billion backed by securities. On July 14, the Ministry of Foreign Trade authorized Banco Ambrosiano to release ITL 42.5 billion in non-interest-bearing deposits. On July 28, the Bank of Italy authorized an extension for the advance and increased the limit to ITL 126 billion (Court of Cassation 1989).

Between July 9 and August 6, Banco Ambrosiano received ITL 530 billion in liquidity support (in ITL and foreign currency) from a public-private consortium of banks (Court of Cassation 1989).

Banco Ambrosiano was ultimately reconstituted as Nuovo Banco Ambrosiano, which took over all but the doubtful assets and associated liabilities of the original bank and was injected with fresh capital by the same public-private bank consortium that provided the initial liquidity (Masera 2021). Figure 1 shows a timeline of events surrounding the Bank of Italy's emergency liquidity assistance to Banco Ambrosiano.

Figure 1: Timeline for Liquidity Support to Banco Ambrosiano

Date	Event
June 14, 1982	Roberto Calvi's disappearance triggers the Bank of Italy's investigation of Banco Ambrosiano, revealing ITL 1.9 trillion–ITL 2.2 trillion in questionable foreign loans. Depositors begin to withdraw large amounts every day.
June 17, 1982	Following a request from Banco Ambrosiano's board of directors, the Ministry of Treasury orders the dissolution of the bank's administrative bodies and submits the bank to extraordinary administration.
June 19, 1982	The Treasury minister issues an order for the Bank of Italy to appoint three extraordinary commissioners as the bank's provisional administration.
June 23, 1982	Bank of Italy authorizes an exceptional release of ITL 140 billion from Banco Ambrosiano's restricted deposit to mandatory reserves.
July 7, 1982	The Bank of Italy provides a ITL 97 billion fixed-term advance to BA to deal with the hemorrhaging of deposits.
July 9, 1982	A rescue consortium of three state-controlled financial institutions (Istituto Mobiliare Italiano, Banca Nazionale del Lavoro, and Istituto San Paolo di Torino) and four private banks (Banca Popolare di Milano, Banca San Paolo di Brescia, Credito Romagnolo, and Banca Agricola di Reggio Emilia) contributes ITL 530 billion to the short-term liquidity needs of BA.
July 14, 1982	The Ministry of Foreign Trade authorizes Banco Ambrosiano to release ITL 42.5 billion in non-interest-bearing deposits.

July 28, 1982	The Bank of Italy grants a ITL 126 billion increase to the initial fixed-term advance.
July 29, 1982	Banco Ambrosiano's supervisory committee confirms the impaired assets cannot be covered by available equity. The supervisory committee and the extraordinary commissioners estimate the negative equity of BA to be ITL 212 billion to ITL 472 billion, respectively.
August 6, 1982	The Treasury Ministry places Banco Ambrosiano into compulsory liquidation.
August 8, 1982	Nuovo BA takes over most Italian assets and liabilities of the old bank, with ITL 600 billion in capital from the three public banks owning 50% of the ordinary shares in the new bank and the four private banks owning 50% (Pellegrini, Lionzo, and Lai 2021). Nuovo BA pays ITL 350 billion to the old BA for substantial stakes in two Italian subsidiaries, La Centrale and Interbanca.

Source: Author's analysis.

Summary Evaluation

Although the fixed-term advance was not specifically evaluated for efficacy, per the Court of Appeals of Milan, the entire liquidity support operation organized by the Bank of Italy achieved its goal of allowing Banco Ambrosiano to remain operational until liquidation, replacing funds lost to depositor runs (Court of Cassation 1989).

During the intervention, the Bank of Italy's communication regarding the rescue operation sent mixed signals to market participants. As discussed in Key Design Decision No. 6, Communication and Disclosure, authorities appeared to understate the magnitude of the financial problems of Banco Ambrosiano. The lack of public transparency regarding the provision of financial assistance fostered uncertainty about who would be responsible for guaranteeing the continuity of Banco Ambrosiano's operations, as conveyed by contemporary journalists (Lepri 1982c).

Moreover, the provision of liquidity assistance to Banco Ambrosiano occurred rather late, when the bank had already experienced a loss of confidence and significant withdrawals (Court of Cassation 1989). Ultimately, the crisis highlighted a hole in the regulatory system, where the underlying vulnerabilities of the bank were obscured by a complex network of foreign subsidiaries outside the purview of domestic supervisors (Galanti, D'Ambrosio, and V. Guccione 2012).

Context: Italy 1982–1983	
GDP (SAAR, nominal GDP in USD)	\$428.3 billion in 1982
	\$444.1 billion in 1983
GDP per capita (SAAR, nominal GDP in USD)	\$7,573.9 in 1982
	\$7,850.6 in 1983
Sovereign credit rating (long-term debt)	Moody's: Data not available in 1982
	S&P: Data not available in 1982
	Fitch: Data not available in 1982
	Moody's: Data not available in 1983
	S&P: Data not available in 1983
	Fitch: Data not available in 1983
Size of banking system	\$286.1 billion in 1982
	\$294.2 billion in 1983
Size of banking system as a % of GDP	66.8% in 1982
	66.2% in 1983
Size of banking system as a % of financial system	Data not available in 1982
	Data not available in 1983
Five-bank concentration of banking system	Data not available in 1982
	Data not available in 1983
Foreign involvement in banking system	Data not available in 1982
	Data not available in 1983
Existence of deposit insurance	No in 1982
	No in 1983

Sources: Bloomberg; World Bank Deposit Insurance Dataset; World Bank Global Financial Development Database.

Key Design Decisions

- 1. Purpose: The purpose of the fixed-term advance was to deal with the flight of deposits from Banco Ambrosiano while the Bank of Italy and the Ministry of Treasury evaluated the possibility of bank recapitalization through voluntary action of the banking system.**

Banco Ambrosiano's significance to the credit system arose from its size: direct deposits of almost ITL 3.7 trillion (USD 2.7 billion) and about 80 subsidiaries, many of which were located in tax havens that did not cooperate with the national supervisory authorities (Galanti, D'Ambrosio, and V. Guccione 2012). According to the Treasury minister at the time, Beniamino Andreatta, these subsidiaries were responsible for losses of ITL 900 billion that ultimately destabilized the bank (Andreatta 1982).

Beyond BA's size and the need to protect depositors and creditors, Andreatta as well as the then-president of the reconstituted bank, Giovanni Bazoli, cited the following as other justifications for BA's rescue: (a) protecting the jobs of more than 4,000 employees of Banco Ambrosiano; and (b) maintaining Italy's solvency image abroad, which the banks in the rescue operation also cited as one of the forces behind their participation (Andreatta 1982; Bazoli 1982; Lepri 1982b).

The Court of Appeals of Milan found the outflow of deposits from Banco Ambrosiano in 1982 to be ITL 320 billion between June 17 and June 24 and ITL 357 billion between June 24 and August 6 (Court of Cassation 1989).

The fixed-term advance provided by the Bank of Italy was one instrument for replacing the funding lost by the outflow of deposits. However, the minister of Treasury at the time, Andreatta, stated the central bank in Italy was not able to intervene for significant amounts, in the case of large banks, to support the institution's liquidity (Andreatta 1982). One researcher suggests the Bank of Italy's inability to intervene in larger amounts arose from the optics of a bailout: "a bailout would have had adverse effects both on the savings of BA's customers and on investors, with terrible consequences in regard to public opinion, considering that the BA was close both to the Catholic Church and to the majority party which therefore expected a backlash in future political polls" (Pellegrini, Lionzo, and Lai 2021).

To prevent the collapse of BA, the Bank of Italy approached other large Italian banks to pledge financial support to BA in the interim. According to Andreatta's testimony before the Chamber of Deputies, this system of engaging third-party banks to provide liquidity made it possible to maintain the operations of the Banco Ambrosiano branches while regulators investigated the extent of the bank's losses (Andreatta 1982).

Andreatta's statements suggest the provision of liquidity by the Bank of Italy in the form of a fixed-term advance and by the rescue consortium of national banks were temporary measures to stopgap the liquidity drain at Banco Ambrosiano until a longer-term solution could be devised.

2. Part of a Package: The rescue package consisted of a short-term liquidity support operation by the Bank of Italy and a public-private consortium followed by compulsory liquidation and reconstitution of Banco Ambrosiano as Nuovo Banco Ambrosiano.

This case study focuses on the fixed-term advance from the Bank of Italy, a form of official emergency liquidity assistance. In addition to the advance, granted on July 7, Banco Ambrosiano received liquidity support in the following forms:

- June 21–July 6: Banco Ambrosiano obtained USD 120 million in repurchase agreements to exchange lire for US dollars through the foreign exchange arm of the Bank of Italy, in order to service foreign currency obligations (Court of Cassation 1989);
- June 23: the Bank of Italy authorized an exceptional release of ITL 140 billion from Banco Ambrosiano's restricted deposit account to the mandatory reserve account, in other words, lowering the bank's reserve requirement;
- July 14: the Ministry of Foreign Trade authorized Banco Ambrosiano to release ITL 42.5 billion in non-interest-bearing deposits;
- July 9–August 6: Banco Ambrosiano received ITL 530 billion in liquidity support (in ITL and foreign currency) from a public-private consortium of banks (Court of Cassation 1989).

An option for liquidity support that was considered and ruled out before the provision of a fixed-term advance was appealing to the Vatican Bank, Istituto per le Opere di Religione (IOR), to honor its letters of comfort for the foreign subsidiaries of Banco Ambrosiano (Andreatta 1982). "The Italian central bank discovered that the international loans made by Banco Ambrosiano's overseas affiliates were covered by letters of comfort (*'lettere di patronage'*) signed by the head of the Vatican Bank, Archbishop Paul Marcinkus" (Hess 1989). The Treasury minister believed these letters were tantamount to guarantees against the questionable loans made by BA to foreign companies; therefore, the IOR had an obligation to cover the losses on these loans (Andreatta 1982). The IOR (and its sponsored entities) had the equivalent of about ITL 1.7 trillion in obligations to BA through these letters (Andreatta 1982).

On July 2, the representatives of the IOR refused to honor its obligations with respect to the nonperforming foreign loans (Andreatta 1982).

The IOR's refusal to accept responsibility for these foreign loans forced the Bank of Italy and Treasury to consider a different intervention scheme. The authorities then decided to investigate recapitalization of the bank and to offer temporary liquidity in the form of a fixed-term advance in the interim (Andreatta 1982). Liquidity support was followed by reconstitution of the bank as Nuovo Banco Ambrosiano on August 8, 1982 (Andreatta 1982).

The new bank was capitalized with ITL 600 billion from the public-private consortium that had earlier provided ITL 530 billion in liquidity support (Bazoli 1982; Italian Parliament 1987). Nuovo Banco Ambrosiano paid ITL 350 billion to the old bank for substantial stakes in two Italian subsidiaries, La Centrale and Interbanca (Italian Parliament 1987), and received special 1% advances from the Bank of Italy under the Ministerial Decree of September 27, 1974, to comprise the remaining ITL 1 trillion necessary to fulfill its obligations (Andreatta 1982; Bazoli 1982).

3. Legal Authority: The Bank of Italy has been the de facto lender of last resort (LOLR) for Italy since the 1907 Financial Crisis and obtained formal legal authority to carry out LOLR functions through the 1936 Banking Law.

The Bank of Italy provided the fixed-term advance to Banco Ambrosiano through a standing facility, which has existed since July 1967, establishing a precedent for this type of support (Bank of Italy 2013; Bartolini 2002).

4. Administration: The Bank of Italy structured the liquidity support package for Banco Ambrosiano and administered the fixed-term advance component of the package.

On June 17, 1982, Banco Ambrosiano's board of directors, following the disappearance of Roberto Calvi, sent a request to the Bank of Italy for administrative dissolution. The Ministry of Treasury issued a decree ordering the dissolution of Ambrosiano's administration and appointment of an extraordinary administration (Court of Cassation 1989). The same day, Calvi's secretary was found dead in front of her office at Banco Ambrosiano's headquarters in Milan. In response to these developments, the Bank of Italy sent a supervisory inspector, Vincenzo Desario, to Ambrosiano to serve as interim commissioner (Draghi 2007; Masera 2021). On June 18, Calvi was found dead in London. On June 19, following a proposal by then-Bank of Italy Governor Carlo Ciampi, the Treasury minister issued an order for the Bank of Italy to appoint three commissioners as the bank's provisional administration: Antonino Occhiuto (former member of the Bank of Italy's Governing Board), Giovanni Battista Arduino (retired banker), and Alberto Bertoni (business economics professor at Bocconi University) (Draghi 2007; Masera 2021). The provisional administration remained in place until August 6, when the Bank of Italy, with approval from the Treasury, put Banco Ambrosiano under compulsory liquidation (Draghi 2007; Masera 2021).

5. Governance: There were governance considerations associated with other elements of the rescue package but none reported with respect to the fixed-term advance itself.

No governance considerations for the fixed-term advance were reported. Between June 19 and August 6, when Banco Ambrosiano was put under compulsory liquidation, the bank was placed in provisional administration and led by commissioners appointed by the Bank of Italy. Both the commissioners and Banco Ambrosiano's supervisory committee performed separate audits of the bank's financials (Court of Cassation 1989). See Key Design Decision No. 4, Administration, for additional information.

6. Communication and Disclosure: Newspaper articles from summer 1982 aimed to calm depositor anxieties but understated the extent of Banco Ambrosiano's illiquidity compared to data provided by authorities after the fact. Moreover, the press repeatedly criticized Bank of Italy's lack of communication on its intervention decisions.

In the historical archives of the Italian newspaper *La Stampa*, the first mention of the Bank of Italy's support is implied in a June 17, 1982, article, "Now the Deposits of Ambrosiano Are Protected by the Bank of Italy," which reported, "the Bank of Italy calls for calm . . . the situation can be brought under control, and in any case, there is no fear for those who have deposited their savings at the Ambrosiano" [author's translation from Italian], suggesting the Bank of Italy hoped to preempt depositor runs through the announcement effect (Lepri 1982a).

On June 25, a *La Stampa* article stated that the deposits withdrawn in the week since Banco Ambrosiano was put in extraordinary administration amounted to only ITL 16 billion (La Stampa 1982a). However, while reviewing the case in 1987, the Court of Appeals of Milan reported the deposit outflow during this week was about ITL 320 billion (Court of Cassation 1989), suggesting the magnitude of the liquidity problem was either unknown to the Bank of Italy or inaccurately communicated to the press (Court of Cassation 1989). Another *La Stampa* article from July 10 seems to suggest the former was the case: "Days go by as the technicians and the central authorities become aware of the real proportions of the crash" [author's translation from Italian] (Cantoni 1982). On July 3, the first mentions were made to the specific liquidity support operations implemented by the Bank of Italy—a currency transfer on June 21 as well as the exceptional allowance of an early release of BA's mandatory reserves at the Bank of Italy on June 23—although the exact amounts of these transactions remained vague (Cantoni 1982). The journalist pointed out how communication by the authorities had been lacking, noting, "the uncertainty of the interventions of the guardianship authorities has led to a progressive enlargement of the 'gap' and the forced shrinking of our already scarce foreign exchange reserves" [author's translation from Italian] (Cantoni 1982).

A July 9 article described how the Bank of Italy was fighting for Banco Ambrosiano on two fronts, "abroad (to prevent the big international bankers from withdrawing or reducing their lines of credit) [and] internally, to reassure savers and prevent panic from turning into an obsessive rush to withdraw deposits" [author's translation from Italian] (Roccati 1982). This article posited that stemming depositor runs was not the current priority for the Bank of Italy, saying, "So far, the operation has been successful on both fronts, but the external one is undoubtedly the one that worries the Bank of Italy the most, also because the Bank's exposure is entirely toward the abroad . . . At the moment, the Banco doesn't seem to have big holes internally: there will be talk (but things could change) of around ITL 200 billion in nonperforming loans, but the guarantees held by the Banco are not known" [author's translation from Italian] (Roccati 1982).

On July 10, an article in *La Stampa* reported on the announcement of the public-private bank rescue consortium to provide short-term liquidity to Banco Ambrosiano. According to the

article, the extraordinary commissioners communicated that the most important aspect of the announcement was to ensure that depositors would not be scared, emphasizing that the bank had adequate liquidity despite the issues abroad (Lepri 1982c). The July 10 article went on to criticize the confusion created by the Bank of Italy's communication behavior in the previous three days, stating, "Bankers who claim to have been asked for an intervention by the governor and the Bank of Italy who denies: different hypotheses of intervention that seem contradictory in some parts; meetings in Rome and meetings in Milan; high and low figures, alarms and cautions; everything intertwined from one hour to the next" [author's translation from Italian] (Lepri 1982c).

On July 12, an article titled "The Fear Has Passed" claimed, "the 'dripping' of withdrawals continued until last week and only stopped with the announcement of the bailout plan prepared by the Bank of Italy" [author's translation from Italian] (La Stampa 1982b). However, this conflicts with statements by then-Minister of Treasury Andreatta and then-president of Nuovo Banco Ambrosiano Giovanni Bazoli, who said deposit outflows did not cede until September–October 1982 (Andreatta 1982; Bazoli 1982).

After this point, the articles in *La Stampa's* historical archives concern other elements of the rescue package beyond acute liquidity support operations. One of the earliest records available to the public on the specific details of the Bank of Italy's ad hoc emergency liquidity support to Banco Ambrosiano is Andreatta's speech to the Chamber of Deputies on October 8, 1982 (Andreatta 1982).

To summarize the communication behavior of the Bank of Italy with regard to its fixed-term advance and other forms of acute liquidity support:

- Specific details of the programs were not clearly communicated (Cantoni 1982; Lepri 1982c).
- When liquidity support measures were announced, they were described as preemptive measures against depositor runs and as tools to facilitate continued operations until a longer-term solution to Banco Ambrosiano's nonperforming loans could be found (that is, as a stopgap, which aligns with how Italian authorities viewed these measures) (Lepri 1982c).
- The magnitude of Banco Ambrosiano's liquidity problem was understated compared to data reported ex post (Court of Cassation 1989; La Stampa 1982a; Roccati 1982).

7. Source and Size of Funding: The Bank of Italy provided a fixed-term advance to Banco Ambrosiano from a standing facility that drew on its monetary base. The initial advance was ITL 97 billion but increased to 126 billion when it was extended upon maturity.

The fixed-term advance from the Bank of Italy was for ITL 97 billion when first administered on July 7, 1982 (Court of Cassation 1989).

On July 28, 1982, the Bank of Italy provided an extension on the loan, increasing the limit to ITL 126 billion on the existing credit line. The increase was granted at the request of the extraordinary commissioners, who required the funds to sustain Banco Ambrosiano through a negative daily balance of ITL 8 billion–ITL 10 billion. On August 8, at the time of its compulsory liquidation, Banco Ambrosiano had outstanding debts to the Bank of Italy of ITL 143.5 billion (Court of Cassation 1989).

It is assumed the advance became part of Nuovo Banco Ambrosiano's liabilities after the liquidation of Banco Ambrosiano—the transfer deed does not report otherwise when listing which assets/liabilities were excluded from the transfer to Nuovo Banco Ambrosiano (Italian Parliament 1987).

8. Rates and Fees: The rate on the fixed-term advance was likely 18–19%, with a surcharge of 1% on the second request.

Assuming Banco Ambrosiano did not transact with the Bank of Italy through the ordinary or fixed-term advance facility between February 7, 1982, and July 7, 1982, the rate of the ITL 97 billion fixed-term advance provided on July 7, 1982, should have been the same as the rate on ordinary advances at the time, 18% (Bank of Italy 2023). However, if Banco Ambrosiano had transacted with the Bank of Italy in the 150 days before it received its ITL 97 billion fixed-term advance, there would have been a 1% surcharge on the interest rate for the fixed-term advance compared to the ordinary advance, resulting in a rate of 19% (Bank of Italy 2023).

However, it is possible the fixed-term advance rates in the Bank of Italy's historical records do not reflect what Banco Ambrosiano was offered, because the minister of the Treasury may have authorized a different rate for this advance in consideration of Banco Ambrosiano's circumstances. Up until January 30, 1992, the law provided for the involvement of the political authority in the determination of interest rates, dating back to Royal Decree 15.1866 n. 2873: a specific rate was applied to each type of transaction, established by decree of the minister of the Treasury, on the proposal of the Governor of the Bank of Italy (Ciampi 1992). Additionally, if the fixed-term advance facility was accessed after 4pm, there may have been a penalty as high as 8% above the discount rate for overnight access (Bartolini 2002).

According to the Court of Appeals of Milan, the liquidity injections had had a cost (from 20% to 28%) higher than the cost of ordinary funding (15%, on average), although it is unclear whether these rates refer to the fixed-term advance specifically or the entire liquidity support operation more broadly (Court of Cassation 1989).

9. Loan Duration: The duration of the fixed-term advance was 22 days, and it was renewed for an unspecified period.

This loan duration was consistent with the administrative limit for a fixed-term advance granted by the Bank of Italy at the time (Ciampi 1992).

Although the initial fixed-term advance was due to expire July 29, 1982, an increase was granted on July 28, 1982—loan duration was not specified for the increase on the advance (Court of Cassation 1989).

As described in Key Design Decision No. 1, Purpose, liquidity support such as this fixed-term advance was intended to replace the funding lost because of deposit outflows until either recapitalization or compulsory liquidation. On August 8, 1982, Banco Ambrosiano was reconstituted as Nuovo Banco Ambrosiano, and it is assumed the fixed-term advance was taken over by Nuovo Banco Ambrosiano along with other liabilities and assets of the liquidated bank.

10. Balance Sheet Protection: The fixed-term advance to Banco Ambrosiano was offered against deposits of securities, although the exact nature of the collateral was unspecified. Haircuts of 15–20% on these securities were likely.

Our research found no public information about what types of securities Banco Ambrosiano used as collateral for the fixed-term advance from the Bank of Italy, or what haircuts the Bank of Italy applied.

As a matter of policy, “the Bank [of Italy] has accepted almost exclusively public sector securities, effectively eliminating any issue of portfolio risk management” (Bartolini 2002). In its usual operations, acceptable collateral for the Bank of Italy’s fixed-term advance facility has typically included government and government-guaranteed securities, land records, securities issued by mortgage lenders and other special credit institutions, securities in lire issued by international organizations, securities issued by preapproved domestic agencies (for example, a state railway agency), and bank bonds (Bartolini 2002).

In general, the terms of the Bank of Italy were such that “the value of securities accepted as collateral was marked to market, discounted by 15 percent for Treasury securities and by 20 percent for other securities. When the gap between the value of collateral and credit fell below one-half the prescribed margin, credit was reduced to reestablish initial conditions, or the bank was required to place new securities as collateral (failing which, the Bank of Italy could proceed with the sale of collateral)” (Bartolini 2002, 36–37).

11. Impact on Monetary Policy Transmission: There is no information among the referenced sources on whether the fixed-term advance to Banco Ambrosiano had an impact on monetary policy transmission.

The loan provided to Banco Ambrosiano was relatively small and likely not impactful to the monetary policy transmission of the Bank of Italy.

12. Other Conditions: There is no information among the referenced sources on other conditions associated with the fixed-term advance from the Bank of Italy to Banco Ambrosiano.

Our research has not discovered other conditions attached to the emergency liquidity.

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